

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Holiday purchases showed** a split in consumer spending, with gains mostly driven by higher-income households while lower-income Americans were squeezed by higher prices. **A1**
- ◆ **U.S. stocks ended** little changed, with the S&P 500 and Nasdaq falling less than 0.1% and the Dow industrials rising less than 0.1%. **B9**
- ◆ **Initial jobless claims** declined last week, showing the economy has still avoided a big surge in layoffs in the home stretch of 2024. **A5**
- ◆ **Netflix's NFL debut** set a new streaming record for the league, with an average audience of more than 24 million people in the U.S. watching each of the two Christmas Day games. **B1**
- ◆ **Microsoft made its** Copilot artificial-intelligence assistant part of its 365 software service in several markets and raised prices, whether subscribers want the add-on or not. **B1**
- ◆ **Taiwan blocked Uber's** planned \$950 million takeover of Foodpanda's local delivery business on anti-competition concerns. **B2**
- ◆ **Singapore Post fired** its group chief executive and two other senior leaders after finding them negligent in the handling of a whistleblower report. **B3**
- ◆ **The January 2025 deadline** for existing companies to file their beneficial-owner-ship information to U.S. regulators was restored after an appeals court reversal. **B3**
- ◆ **Xiaomi, the Chinese** consumer-electronics specialist, joined the electric-vehicle charging networks of rivals NIO, XPeng and Li Auto. **B4**

World-Wide

- ◆ **Preliminary results** of Azerbaijan's investigation into the deadly crash of an airliner point to the plane being hit by a Russian anti-aircraft missile, or shrapnel from it, said people briefed on the probe. **A1**
- ◆ **Finland detained** a tanker carrying Russian oil on the suspicion that it had severed undersea power and data cables on Christmas Day. **A7**
- ◆ **Israel escalated** strikes against the Houthis in Yemen, launching attacks that officials said were intended to deter the Iran-backed group from posing a direct threat. **A6**
- ◆ **Israel's leaders said** its military gains against its most dangerous regional adversaries have strengthened its strategic position. **A7**
- ◆ **Syria's new rulers** face challenges to their authority, including clashes with allies of the old regime and protests accusing them of destroying religious symbols. **A6**
- ◆ **China advised** Chinese students in the U.S. against imminent cross-border travel, adding to American universities' counsel to international students to return to campus before Trump's inauguration. **A3**
- ◆ **Drone scares have** prompted police and businesses to call for greater authority to intervene in the flights, including taking down the aircraft. **A5**
- ◆ **Famine has spread** to more areas of Sudan, an international panel said, as hundreds of thousands of people face starvation there. **A9**
- ◆ **Died: Richard Parsons**, 76, corporate troubleshooter. **A1 ...**
- ◆ **Manmohan Singh**, 92, former Indian prime minister. **A9**

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Tsunami Victims Remembered, 20 Years Later



KSATISH BABU/AGENCE FRANCE PRESSE/GETTY IMAGES

SAD ANNIVERSARY: Flowers are scattered on a beach in Chennai, India, to honor victims of the 2004 Indian Ocean tsunami, when an earthquake off Indonesia triggered immense waves that killed around 230,000 people across a dozen countries.

Era of Turbulent Proxy Battles With Big-Name Activists Ends

By Lauren Thomas

An era of big-name activists with fiery personalities waging noisy proxy battles and wielding brash tactics to win board seats is over. Carl Icahn, facing attacks on how he manages his own publicly traded firm, has slowed his fire. Nelson Peltz, fresh off losing a battle with Disney, is planning to hand his firm to his less-pugnacious son and others. Bill Ackman and Jeff Ubben have walked away

from fights. Dan Loeb hasn't had a big proxy war in years. In their stead is a newer crop of activists who are smaller in size, less well known and often less eager to brawl. The activist shift is coupled with changes on the corporate side. After years of activists hammering the same points over and over, many boards are more alert. They are moving faster in cases of underperformance, firing CEOs, striking deals and more willing to embrace activists who

do come along. The results: The number of proxy fights that go all the way to a vote is down. Settlements with companies are up, and coming faster than ever. And the returns of the activist funds are generally underperforming. With the low-hanging fruit picked, and fundraising difficult, it is unlikely a new activist giant will emerge to strike fear each time it appears in a shareholder roster. "The industry in most cases is becoming much more insti-

tutionalized," said Charlie Penner, a longtime activist investor who launched a new firm with a name purposefully meant to sound anonymous: Anonym. "It's not as personality-driven anymore." For the past two years, nearly two-thirds of agreements between companies and activists have been struck privately, according to an analysis by FTI Consulting. Even when things get heated, they cool quickly. It took only an

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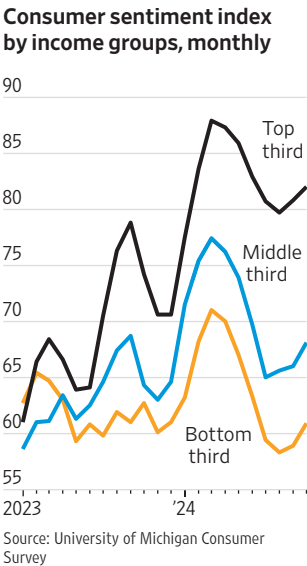
Holiday Shopping Reveals Consumer-Spending Split

By Natasha Khan and Sarah Nassauer

It was a holiday season of the haves and the have nots. Inflation-weary consumers were projected to splurge this year on holiday gifts, food and decorations—fueled by online purchases, according to industry estimates. But the gains were increasingly driven by higher-income households, those making more than \$100,000 a year. Lower-income Americans were squeezed by higher prices for groceries, child care and other monthly expenses. Not every retailer has navigated the turbulence well. The Container Store and Party City

chains both filed for bankruptcy protection in the days before Christmas. Meanwhile, the founding family of Nordstrom clinched a deal to take the struggling department store private. "We started to notice this trend where there was a real bifurcation in the market between the \$50,000-and-below consumer in the U.S. market and the \$100,000-and-above consumer," said Chris Peterson, chief executive of Newell Brands, which makes Sharpie pens, Graco strollers and Oster kitchen appliances. For example, the company is anticipating stronger demand for its high-end blend-

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U.S. Intelligence Review Of Origins of Covid-19 Masked Deep Divisions

By Michael R. Gordon and Warren P. Strobel

A car and driver had been readied to whisk Jason Bannan from FBI headquarters early one morning in August 2021 to brief the White House on a novel virus that was killing hundreds of thousands of U.S. citizens and had stopped the world in its tracks. Bannan had been told by his superiors to be on hand in case the Federal Bureau of Investigation was asked to join a top intelligence community briefing for the president. But the White House summons never came. Bannan, a Ph.D. in microbi-

ology, had joined the bureau after the September 2001 terrorist attacks in New York and Washington when the agency bulked up its expertise to deal with the threat of germ weapons, toxins and other weapons of mass destruction. But for more than a year he had spent most of his waking hours on the Covid-19 virus that had seeped out of China in 2019. Frustrated by China's stonewalling, President Biden had ordered an urgent assessment by the U.S. intelligence agencies and national laboratories on whether the virus had leapt from an animal to a

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Flying Was Already the Worst. Now Nobody Uses Headphones.

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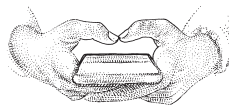
Travelers say a surprising number of people think it's OK to take phone calls on speaker

By Alison Sider

Sitting at Washington Dulles International Airport earlier this year, Ady Beitler overheard both sides of an argument so caustic that "if it was my marriage, it would have been a breakup." For the couple, the culprit was a wet towel left on the bathroom floor. But to Beitler, the problem was a fellow passenger's baffling willingness to have this petty fight on speakerphone, at a volume that was impossible to ignore. "I got emotionally invested in the drama," said the 43-year-old entrepreneur. Eventually, he tore himself away and

went to a quieter gate, having learned the hard way nothing good comes from confronting headphone resisters. "I engaged once with a guy who had a different opinion. He was like, 'I don't think so. I don't think it's bothersome.'" If security lines, flight delays and long layovers weren't enough, there's a new scourge facing holiday travelers: a surprising number of people who think it's totally OK to have phone conversations on speaker, or watch movies and shows without headphones. "At first it irritated me. Then it annoyed me. Then it got me angry. Now I'm just be-

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Carry on

Parsons, Go-To Leader Who Rescued Troubled Companies, Dies at Age 76

By Benjamin Mullin

Richard "Dick" Parsons, the affable troubleshooter who helped some of the most beleaguered U.S. companies navigate the 1980s and 1990s savings-and-loan meltdown, the dot-com bust and the 2008 financial crisis, died at age 76. "Dick Parsons resides comfortably on the Mount Rushmore of financial and philanthropic leaders. There is no one comparable," said Ray McGuire, president of Lazard. Parsons died at his Manhattan home. With his preternatural calm, gregarious charm and keen instincts for corporate politics, Parsons ascended rapidly through the ranks of U.S. corporations, ultimately serving as chairman of Citigroup and chief executive of Time Warner, interim chairman of CBS and interim chief executive of the Los Angeles



ANUR HAMAN FOR WSJ

Richard 'Dick' Parsons at his New York City office in 2022.

Clippers basketball team. He was a board member at Estée Lauder for some 25 years until stepping down this month because of his health. Add it all up, and Parsons was one of the most powerful Black busi-

ness executives in U.S. history. Along the way, he clashed with business titans, including billionaire financier Carl Icahn, served in the White House under President Gerald Ford and

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